

EQUIPMENT FINANCE AND SECURITY AGREEMENT

Dated: As of November 10, 2023

PRECISION AEROSPACE COMPONENTS, INC.

("Borrower")

and

ATLAS EQUIPMENT FINANCE, LLC

("Lender")

\$4,750,000.00 EQUIPMENT TERM LOAN

SCHEDULE OF FINANCED EQUIPMENT

Item	Description	Serial / Model	New/Used	Cost
1	5-Axis CNC Machining Center	Mazak Variaxis i-800	New	\$1,250,000
2	Laser Cutting System	Trumpf TruLaser 5030	New	\$980,000
3	Coordinate Measuring Machine	Zeiss Contura G2	New	\$620,000
4	Industrial Robot Cell (2 units)	FANUC M-710iC/70	New	\$850,000
5	Heat Treatment Furnace	Ipsen TITAN H4	New	\$490,000
6	Quality Inspection System	Keyence XM Series	New	\$310,000
7	Software / Tooling Package	Various	New	\$250,000
	TOTAL			\$4,750,000

ARTICLE I — DEFINITIONS

"Agreement" means this Equipment Finance and Security Agreement.

"Collateral" means the Equipment listed in the Schedule above, together with all accessions, attachments, accessories, replacement parts, substitutions, additions, proceeds and products thereof.

"Default Rate" means the Contract Rate plus 5.00% per annum.

"Contract Rate" means the fixed rate of 7.25% per annum.

"Equipment" means the items described in the Schedule above and in Exhibit A.

"Loan Amount" means \$4,750,000.00.

"Loan Term" means 60 months from the first Payment Date.

"Monthly Payment" means \$94,326.00 per month (principal and interest combined).

"Payment Date" means the first day of each calendar month, commencing January 1, 2024.

"Permitted Use" means use of the Equipment solely in Borrower's ordinary business operations in the United States.

"UCC" means the Uniform Commercial Code as enacted in the State of Delaware.

ARTICLE II — THE LOAN

Section 2.1 Loan. Lender agrees to make a term loan to Borrower in the Loan Amount for the purpose of financing the Equipment. Proceeds shall be disbursed directly to vendors upon Borrower's delivery of executed vendor invoices and delivery receipts.

Section 2.2 Interest Rate. The Loan bears interest at the fixed Contract Rate of 7.25% per annum, calculated on a 30/360 basis. The Contract Rate is fixed for the entire Loan Term.

Section 2.3 Repayment. Borrower shall repay the Loan in 60 consecutive monthly installments of \$94,326.00 each (blended principal and interest), commencing on January 1, 2024. A final balloon payment equal to any remaining balance shall be due on the Maturity Date. The amortization schedule is attached as Exhibit B.

Section 2.4 Prepayment. Borrower may prepay the Loan in whole or in part at any time upon 30 days' prior written notice, subject to a prepayment premium equal to: (i) 3% of the amount prepaid if prepaid in Loan Years 1-2; (ii) 2% if in Loan Year 3; (iii) 1% if in Loan Year 4; and (iv) no premium in Loan Year 5.

Section 2.5 Late Charge. If any payment is not received within 10 days of its due date, Borrower shall pay a late charge equal to 5% of the overdue payment.

Section 2.6 Fees. Documentation fee: \$2,500, due at closing. UCC filing fees: at cost.

ARTICLE III — SECURITY INTEREST

Section 3.1 Grant. To secure all Obligations, Borrower hereby grants to Lender a first-priority security interest in all of the Collateral, whether now owned or hereafter acquired, and all proceeds and products thereof.

Section 3.2 Perfection. Borrower authorizes Lender to file UCC-1 Financing Statements in all appropriate jurisdictions. Borrower shall cooperate with all steps necessary to perfect and maintain Lender's security interest.

Section 3.3 Location of Equipment. The Equipment shall be kept at Borrower's facility at 1400 Aerospace Drive, Wichita, Kansas 67202, and shall not be moved without Lender's prior written consent.

Section 3.4 Insurance. Borrower shall maintain all-risk property insurance on the Equipment for not less than full replacement cost value, with Lender named as loss payee. Borrower shall also maintain general liability insurance of not less than \$5,000,000 per occurrence.

Section 3.5 Maintenance. Borrower shall maintain the Equipment in good working condition and repair, shall not alter or modify the Equipment without Lender's consent, and shall allow Lender to inspect the Equipment at any reasonable time.

ARTICLE IV — REPRESENTATIONS AND COVENANTS

Section 4.1 Representations. Borrower represents: (a) it is duly incorporated and in good standing in Delaware; (b) it has full authority to enter into this Agreement; (c) no material litigation is pending; (d) its most recent financial statements fairly present its condition; (e) it has paid all taxes; (f) no liens exist on the Collateral other than Lender's security interest.

Section 4.2 Affirmative Covenants. Borrower shall: (a) provide annual audited financial statements within 120 days of fiscal year-end; (b) provide quarterly management-prepared statements within 45 days of quarter-end; (c) maintain all permits required to operate the Equipment; (d) promptly notify Lender of any casualty affecting the Equipment.

Section 4.3 Financial Covenants. Borrower shall maintain on a rolling 12-month basis: (a) Minimum Debt Service Coverage Ratio (EBITDA / Total Debt Service) of not less than 1.25:1.00; (b) Minimum Tangible Net Worth of

\$8,000,000.

Section 4.4 Negative Covenants. Without Lender's prior written consent, Borrower shall not: (a) sell, lease, transfer or otherwise dispose of any Collateral; (b) allow any lien to attach to the Collateral; (c) use the Equipment outside the Permitted Use.

ARTICLE V — EVENTS OF DEFAULT AND REMEDIES

Events of Default include: (a) failure to make any payment within 10 days of the due date; (b) material breach of any representation or covenant; (c) any bankruptcy, insolvency or assignment for benefit of creditors; (d) any judgment against Borrower exceeding \$500,000 unsatisfied for 30 days; (e) any material loss or destruction of Collateral not covered by insurance; (f) a change of control of Borrower without Lender's consent.

Upon an Event of Default, Lender may: (i) declare all Obligations immediately due and payable; (ii) enter Borrower's premises and take possession of the Collateral; (iii) sell, lease or otherwise dispose of the Collateral at public or private sale; (iv) exercise all rights of a secured party under the UCC. Borrower waives any right to require Lender to proceed against any other Person or Collateral.

ARTICLE VI — GENERAL PROVISIONS

Governing Law: Delaware. **Jury Trial Waiver:** Both parties waive all rights to a jury trial. **Notices:** Borrower: 1400 Aerospace Drive, Wichita, KS 67202; Lender: 350 Park Avenue South, New York, NY 10010. **Entire Agreement:** This Agreement supersedes all prior discussions. **Severability:** Invalid provisions shall be severed and remaining provisions remain in full force.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

PRECISION AEROSPACE COMPONENTS, INC.

a Delaware corporation

By: _____

Name: _____

Title: _____

ATLAS EQUIPMENT FINANCE, LLC

a Delaware limited liability company

By: _____

Name: _____

Title: _____